

Notice under Arbitration and Conciliation Act 1996

By Speed Post with A.

ID.

Date

Dhillon Industrial Corporation Ltd.

15/1/A, J.R Nagar Bangalore 560 078

Dear Sirs

Client: Smart Finance Co. Ltd. of Calcutta *Re:* Lease in respect of computer machinery

Under instructions from and on behalf of my client, Smart Finance Co. Ltd., I address you as follows:

You entered into a Lease Agreement dated 5th December 1999 with our client above-named in respect of machinery referred to above and agreed, *inter alia*, to pay to them monthly Lease Rent of Rs. 50,000 commencing from 5th January 2000. The tenure of the said Lease was for 3 years from the date of commencement.

You have failed and neglected to perform your part of the obligation, defaulted in payment of the lease rentals and in furnishing the Security Deposit. You have, therefore, committed breaches of the Agreement and defaults in payment and are liable to the consequences, thereof.

My client has, therefore, instructed me to terminate and determine the said Lease Agreement which I hereby do. You have also become liable to pay lease rentals for the unexpired period of lease and other charges.

After giving credit for all sums paid by you, a sum of Rs. 20 lakhs is due and payable by you to my client.

Particulars

Monthly Instalment which fell due on 5th January 2000- Rs. 50,000.00

Monthly lease rentals from 5th February 2001 to 5th December 2001- Rs. 5,50,000.00

Interest at the agreed rate provided under the Agreement from the respective due dates calculated up to 5th December 2001- Rs. 1,50,000.00

Expenses incurred in attempting to collect the rentals Lease rentals for the unexpired period of the Lease- Rs. 50,000.00

Total: Rs.12,00,000.00

My client has, therefore, instructed me to call upon you which I hereby do that if you fail to pay the aforesaid sum with further overdue compensation at the agreed rate from until payment within 7 days from the receipt hereof, my client will be compelled to initiate appropriate legal proceedings including referring the matter to arbitration in terms of the relevant Arbitration Clause contained in the Agreement without any further reference to you.

You are not entitled to use or possess the said equipment. You are hereby requested to forthwith deliver the said machinery to my client, failing which you will be held liable to pay compensation and/or mesne profits at Rs. 2,000 per day till delivery thereof to my client for wrongful use or possession or depriving my client of the benefit of the same.

Yours faithfully

Advocate

Copy forwarded to: By Speed Post with A/D.

1. Mr.....

2. Mr.....

Both of:

Copy forwarded to: Smart Finance Co. Ltd.